PERSPECTIVE

The April 1986 issue of *The Elliott Wave Theorist* explained the development reflected in Figure 20-4:

> An "A" wave decline occurred into 1982, and a classic "B" wave rebound is in force. If you will recall that "B" waves in the stock market have poor breadth (i.e., they are very selective), you can see the similarity in the fact that in some areas of the country, property prices are booming, and in others [farms and oil industry areas], there is an out-and-out depression. It's a classic "B" wave.

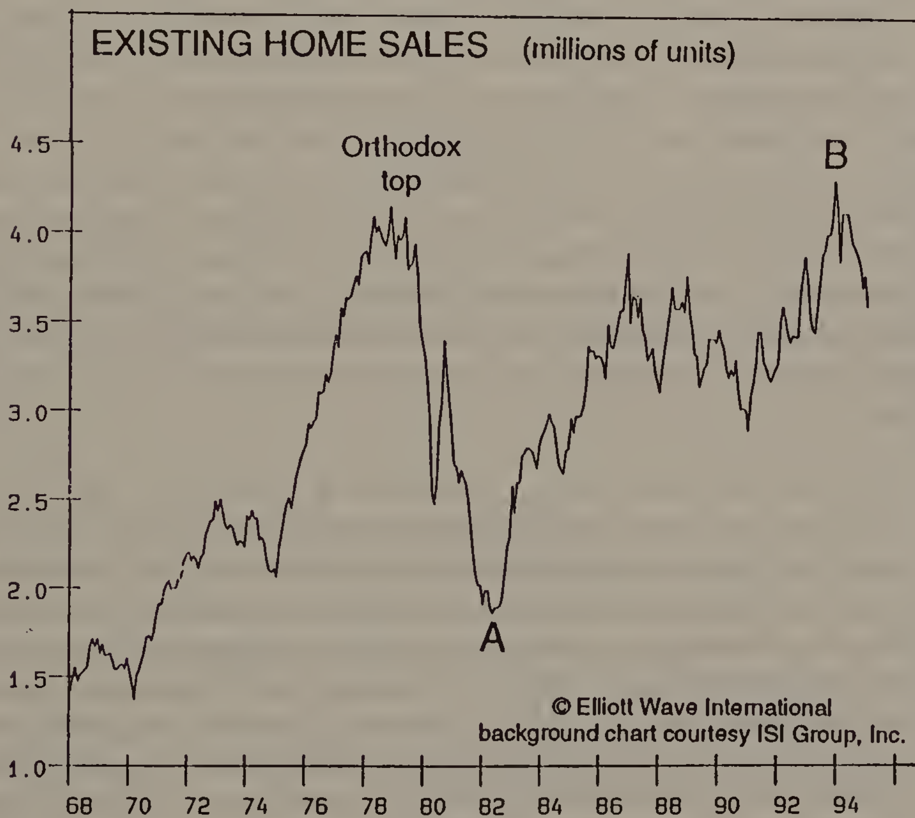

Figure 20-4

The "B" wave euphoria was so strong that according to a 1987 article in *Continental* magazine, "an astonishing 93% of real estate professionals surveyed [in 1986] by Real Estate Research Corp. believed that 1987 would be a good time to buy real estate." The number was indeed astonishing, but its value as a contrary indicator was no surprise. Contrary to (and indeed, reflecting) that one-sided consensus, 1987 to early 1989 in fact witnessed the psychological peak of the property mania, making it an excellent time to *sell* real estate.